Bayinnaung's defeat of Chiang Mai served as a signal to the Shan chieftains on the China-Toungoo border to swear allegiance to Bayinnaung.

Following the defeat of Chiang Mai, Bayinnaung became involved in a Tai power struggle. Settatirat, the king of Laos, invaded Chiang Mai in 1558. The following year Settatirat forged an alliance with Toungoo's historical enemy, Siam, and moved his capital to the fortified city of Ayutthaya. Settatirat attacked the Siamese capital of Ayutthaya in 1563. For a short period of time, Toungoo was the most powerful state in Southeast Asia. Bayinnaung invaded Siam again in 1568 in response to the attack on Pitsanulok by the former king of Siam. Initially repulsed by the lethal firepower of Portuguese mercenaries employed by the Siamese, Bayinnaung laid siege to Pitsanulok. Unable to break the stalemate, Bayinnaung used the former Ayutthaya minister Paya Charki to trick the city's defenders into weakening their defenses. Bayinnaung took the city, executed the sub-king, and replaced him with the governor of Pitsanulok, Mahadhammaraja Dipiti. Bayinnaung then marched to Laos but failed to capture Settatirat.

Legal scholarship flourished during Bayinnaung's reign. A commission of 12 monks produced a compendium of Burmese legal writings. Other noted jurists compiled commentaries of Burmese customary law. Bayinnaung himself passed a series of legal rulings, which were collected and published. Bayinnaung's aim was to unite the various tribes of Burma under a common system of law, a common literature, and a common system of weights and measurements.

Bayinnaung's death in 1581 signaled the beginning of the end of the Toungoo dynasty, as a war of succession led to the eventual disintegration of the empire Bayinnaung had put together. It gave Ayutthaya the opportunity to regain its independence and shortly thereafter other city-states followed.

THE FALL OF TOUNGOO AND THE EMERGENCE OF THE RESTORED TOUNGOO DYNASTY (1597–1752)

Bayinnaung's son and successor Nanda Bayin (r. ca. 1581–1599) was the last monarch of the Toungoo dynasty, who was forced to quell numerous